



**Before the
CALIFORNIA PRIVACY PROTECTION AGENCY
Attn: Brian Soublet
2101 Arena Blvd., Sacramento, CA 95834
Email: regulations@coppa.ca.gov**

COMMENTS

of the

ANA – ASSOCIATION OF NATIONAL ADVERTISERS

on the

**Text of Proposed Regulations to Implement
the California Privacy Rights Act of 2020
CPPA Public Comment**

Christopher Oswald
EVP, Head of Government Relations
Association of National Advertisers
2020 K Street, NW
Suite 660
Washington, DC 20006
202.296.2066

Counsel:
Stu Ingis
Mike Signorelli
Tara Potashnik
Allaire Monticollo
Venable LLP
600 Massachusetts Ave., NW
Washington, DC 20001
202.344.4613

August 23, 2022

On behalf of ANA – Association of National Advertisers (“ANA”), we provide comments in response to the California Privacy Protection Agency’s (“CPPA” or “Agency”) July 8, 2022 request for public comment on the text of proposed regulations to implement the California Privacy Rights Act of 2020 (“CPRA”).¹ The ANA fully supports the goal of advancing strong and meaningful privacy protections for Californians, but we are concerned that certain provisions in the proposed regulations would hinder—rather than advance—consumer privacy and choice, and other provisions would conflict with the clear language, mandates, and intent of the CPRA itself. We therefore provide these comments to help the Agency better conform the proposed regulations to the law.

The mission of the ANA is to drive growth for marketing professionals, brands and businesses, the industry, and humanity. The ANA serves the marketing needs of 20,000 brands by leveraging the 12-point ANA Growth Agenda, which has been endorsed by the Global CMO Growth Council. The ANA’s membership consists of U.S. and international companies, including client-side marketers, nonprofits, fundraisers, and marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). The ANA creates Marketing Growth Champions by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually. Our members include small, mid-size, and large firms, and virtually all of them engage in or benefit from data-driven advertising practices that give consumers access to relevant information, messaging, and advertisements at the right time and in the right place.

ANA provided California’s government with input at nearly every stage in the California Consumer Privacy Act of 2018’s (“CCPA”) development. We testified in person at legislative and administrative hearings, submitted written comments on the content of the draft CCPA regulations, held discussions with government staff, and closely followed the changes to the CCPA through the legislative and regulatory process. With the transfer of regulatory authority to the Agency, we will continue our engagement with the CPPA Board and staff, Executive Director, and other California government leaders to advance the critically important subject of consumer privacy. We therefore welcome the release of draft regulations to implement the CPRA for public comment.

However, as an overarching, threshold matter, we are deeply concerned that the proposed regulations would substantially and materially alter statutory requirements in the CPRA’s text, thus substituting a regulator’s extra-legislative objectives for the specific language of the law. The ANA and our members support the Agency’s goal to provide Californians with improved privacy protections, but the proposed rules implementing the CPRA contain many provisions that substantively change businesses’ obligations as set forth in the law. The CPRA’s implementing regulations can only be promulgated within the legal authority granted to the CPPA. While we recognize that the proposed regulations are in “draft” form, several of the proposed rules are obviously *ultra vires* and contravene the law by creating requirements that are significantly different from, and in some cases diametrically opposed to, the CPRA’s requirements (as described in more detail in these comments). We therefore urge you to consider

¹ CPPA, *Notice of Proposed Rulemaking* (Jul. 8, 2022), located [here](#).

these comments and modify the proposed regulations so they align with the text and intent of the statute.

Additionally, we are particularly concerned that the Economic and Fiscal Impact Statement (“EFIS”) to support the proposed regulations severely underestimates the costs associated with the draft rules.² For example, the EFIS states that “the proposed regulation has a small cost per business,” (\$128) when actual studies have shown that the cost of executing just a single consumer rights request under the CCPA can reach \$1,500.³ Given that the CPRA creates new consumer rights associated with sensitive personal information and personal information correction, costs of compliance are almost certainly likely to be greater than \$128 per business. Similarly, the EFIS states that the proposed regulations are expected to increase labor hours required for CCPA compliance by just 1.5 hours each, while reports have shown “[o]rganizations spend an average of 60 to 130 person hours complying with” consumer rights requests alone.⁴ The aforementioned study demonstrates that the actual cost and time required to facilitate rights requests are significant themselves. This finding does not even account for the extraordinary additional expense businesses will accrue to develop processes to meet many new requirements, including facilitating new consumer rights under the CPRA, updating required notices, and reworking contracts with customers and business partners. The EFIS should be revised to reflect the actual—and significant—costs to businesses that are associated with the proposed regulations’ mandates.

It is essential that the Agency develop a regulatory scheme that is consistent with the CPRA and that will protect consumers while also allowing businesses to continue to support and underpin what has been California’s vibrant economy. To that end, our comments address the following specific issue areas:

- I. The Agency Should Delay Enforcement of the CPRA and the Implementing Regulations for At Least One Year Following the Finalization of the Regulations**
- II. Entirely New and Subjective Proportionality Standards in the Proposed Regulations Should Be Updated to Match the CPRA**
- III. The Proposed Regulations’ Approach to Opt-Out Preference Signals Conflicts with the Text of the Law**
- IV. The Agency Should Remove Section 7050(c) of the Proposed Regulations Because It Is Unnecessary and Duplicative**
- V. The Proposed Regulations’ Symmetry of Choice Requirements Are Too Inflexible to Accommodate Different Channels and Technologies**
- VI. Forcing Businesses to Forward Opt-Out Requests Downstream Is Inconsistent with Consumer Choice and the CPRA’s Text**
- VII. Correction Requirements Should Permit Important Consumer Protections**

² CCPA, *Economic and Fiscal Impact Statement for California Consumer Privacy Act Regulations* (Jun. 28, 2022), located [here](#) (hereinafter, “EFIS”).

³ *Id.* at 2; DeAndrea Salvador, *2022 Data Privacy Trends: A CCPA Report*, DATAGRAIL (Mar. 9, 2022), located [here](#); see also Alex Woodie, *Privacy Costs Rise as CCPA Requests Jump*, DATANAMI (Mar. 11, 2022), located [here](#).

⁴ *Id.*

- VIII. The Agency Should Clarify the Proposed Regulations' Notice Requirements**
- IX. Consumer Access Requests Should Cover the Prior 12-Month Period Unless the Consumer Specifically Requests Access to Older Information**
- X. Transient, Unknown Technical Violations of the Regulations Should Not Be Grounds for Enforcement**
- XI. The Data-Driven and Ad-Supported Online Ecosystem Benefits California Residents and Fuels Economic Growth**

ANA thanks you for the opportunity to provide comments on the proposed regulations and looks forward to continuing to engage with you throughout the regulatory process.

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I. The Agency Should Delay Enforcement of the CPRA and the Implementing Regulations for At Least One Year Following the Finalization of the Regulations

The CPRA specified the statutory deadline for the Agency to issue *finalized* regulations implementing the statute as July 1, 2022.⁵ Unfortunately, this deadline passed before the Agency released the proposed CPRA implementing regulations for formal comment. Had the Agency met the CPRA’s statutory deadline for final rules, businesses would have had (as intended by the statute) a full year to come into compliance with regulatory requirements prior to civil and administrative enforcement of the CPRA (scheduled to begin on July 1, 2023).⁶ Indeed, the text of the CPRA contemplates a one-year period for businesses to bring themselves into compliance with the law’s new mandates and its associated regulations prior to facing enforcement, and so the Agency should forebear from enforcing the CPRA or its implementing regulations until at least one year after the date the regulations are finalized (*i.e.* approved by the California Office of Administrative Law, filed with the California Secretary of State, and officially made effective pursuant to the quarterly effective date schedule for regulations under California law).⁷

The Agency’s proposed changes to the regulatory framework in effect under the CCPA are significant. The proposed regulations implement the CPRA, a law that substantially and materially amended the CCPA upon its approval by California voters via ballot initiative in 2020. Businesses cannot begin to take meaningful, concrete steps towards compliance with the CPRA regulations until they are finalized; otherwise, businesses may invest significant resources to meet requirements that could materially and substantively change prior to being finalized. Businesses need ample time to develop processes that adhere to the regulations’ requirements for the CPRA’s new consumer rights, gain clarity on the CPRA’s notice and choice mandates, and perform the due diligence and governance functions required by the CPRA before being penalized for violations. We therefore ask you to delay enforcement until at least one year following the effective date of the proposed regulations. Such a compliance ramp-up period—namely, at least one year following the effective date of final regulations—was envisioned by the CPRA and is necessary to allow businesses sufficient time to comply with the final rules.

II. Entirely New and Subjective Proportionality Standards in the Proposed Regulations Should Be Updated to Match the CPRA

The proposed regulations, through illustrative examples as well as plain text, include novel and ambiguous proportionality standards and requirements that directly conflict with the CPRA itself. As described in more detail below, the proposed rules inject a new subjective “average consumer expectation” standard into the law’s “necessary and proportionate”

⁵ Cal. Civ. Code § 1798.185(d) (effective Jan. 1, 2023) (“Notwithstanding subdivision (a), the timeline for adopting final regulations required by the Act adding this subdivision shall be July 1, 2022.”)

⁶ *Id.* (“Notwithstanding any other law, civil and administrative enforcement of the provisions of law added or amended by this Act shall not commence until July 1, 2023, and shall only apply to violations occurring on or after that date.”)

⁷ Cal. Gov. Code. §§ 11349.3(a), 11349.4(a) (describing the typical timeline for the California Office of Administrative Law (“OAL”) to review agency-drafted regulations and submit them to the California Secretary of State, and discussing the quarterly schedule by which such regulations become effective depending on the date OAL files them with the California Secretary of State).

requirements that provides no guidance to businesses about permissible uses of personal information. The proposed regulations also create opt-in consent requirements where the CPRA clearly articulates an opt-out approach. The Agency should amend these standards, as set forth below, to match them to the CPRA and provide needed clarity to the business community. The CPPA must not create new substantive requirements in areas where the CPRA itself already sets clear mandates.

A. The Agency Should Remove The Subjective “Average Consumer Expectation” Standard from the Regulations’ “Necessary and Proportionate” Requirements

The proposed regulations state: “a business’s collection, use, retention, and/or sharing” of “personal information” must be “reasonably necessary and proportionate to achieve the purpose(s) for which the personal information was collected or processed.”⁸ The regulations further explain that “[t]o be reasonably necessary and proportionate, the business’s collection, use, retention, and/or sharing must be consistent with *what an average consumer would expect* when the personal information was collected.”⁹ The regulations thus introduce a subjective “average consumer expectation” standard that provides no clarity. The proposed regulations also discount the CPRA’s role of notice, which is the approach to “necessary and proportionate” use taken in the law. The Agency should remove the “average consumer expectation” standard from the regulations’ explanation of the meaning of “necessary and proportionate” data collection and use in Section 7002.

The “average consumer expectation” standard is not required for “necessary and proportionate” data collection, use, or retention under the CPRA. Instead, the CPRA ties permissible personal information collection, use, retention, sale, and sharing to consumer disclosures. The CPRA specifically permits use of personal information for a “business purpose,” defined as “the use of personal information for the business’s operational purposes, *or other notified purposes...*”¹⁰ Additionally, the CPRA’s notice at collection requirements mirror this approach to permissible data collection and use by stating that “[a] business shall not collect additional categories of personal information or use personal information collected for additional purposes that are *incompatible with the disclosed purpose* for which the personal information was collected, without providing the consumer with notice consistent with this section.”¹¹ A similar construct and effect is also included in Section 1798.100(c) of the CPRA concerning businesses’ data retention obligations. In the same manner, the Agency has read out of law the role of notice.¹² The CPRA therefore requires businesses to disclose the purposes for data collection or use and to update applicable notices if personal information is ever collected or used for a purpose that is incompatible with the original purpose for which it was first collected.

⁸ Cal. Code Regs. tit. 11, § 7002(a) (proposed).

⁹ *Id.* (emphasis added).

¹⁰ Cal. Civ. Code § 1798.140(e) (effective Jan. 1, 2023).

¹¹ *Id.* (emphasis added).

¹² The CPRA states: “A business’s collection, use, retention, and sharing of a consumer’s personal information shall be reasonably necessary and proportionate to achieve the purposes for which the personal information was collected or processed, *or for another disclosed purpose* that is compatible with the context in which the personal information was collected, and not further processed in a manner that is incompatible with those purposes.” *Id.* at § 1798.100(c) (emphasis added). The CPRA thus ties necessary and proportionate use to consumer disclosures—not average consumer expectations—in multiple sections of the statute, which the proposed regulations would read out of law.

The subjective task of determining the expectation of an “average consumer” is not a prerequisite for personal information collection or use under the CPRA.

The proposed regulations’ “average consumer expectation” standard would leave businesses to guess what an “average” consumer would expect when engaging with their products or services or using the Internet. The proposed standard is inherently unclear, because businesses and consumers may reasonably differ in their ideas of reasonable consumer expectations in the marketplace. Because the “average consumer expectation” standard creates an effect that directly conflicts with the statute’s notice requirements and would add more confusion rather than clarity to the regulations, the standard should be removed from Section 7002.

B. The Proposed “Average Consumer Expectation” Standard Is Unworkable and Would Result in Outcomes That Contravene the Plain Text of the CPRA

The illustrative examples in the proposed regulations that attempt to describe an “average consumer expectation” provide little to no clarity and contravene the text of the statute. For example, one illustrative example contradicts the CPRA by imposing opt-in standards where the statute clearly takes an opt-out approach. Specifically, the illustrative example in Section 7002(b)(1) would require opt-in consent to collect “geolocation information” about a consumer who downloaded a flashlight application.¹³ Conversely, the CPRA gives consumers the right to opt out of sales and sharing of “personal information,” which includes generalized geolocation information such as zip code and hometown.¹⁴ The CPRA also provides consumers with the right to opt out of use and disclosure of “sensitive personal information,” which includes “precise geolocation” information (as defined in the CPRA).¹⁵ The CPRA thus clearly spells out an opt-out right tied to disclosure of such information. The CPRA does not restrict the collection of such data, but the CPRA regulations would impose an opt-in consent requirement for collection. The example in the proposed regulations therefore provides no clarity but, in fact, creates confusion by taking an approach diametrically opposed to the way the example would be analyzed under the clear text of the CPRA. The illustrative example thus demonstrates how the “average consumer expectation” standard found in the proposed regulations contravenes the plain text of the CPRA.

The illustrative example in Section 7002(b)(3) demonstrates the same flaw of contradicting the clear text of the CPRA. The example would prohibit Internet service providers from selling or sharing “geolocation information” to “data brokers without the consumer’s explicit consent.”¹⁶ The CPRA text suggests data brokers are “third parties” that may receive “personal information” from businesses, subject to an opt-out right for: (1) personal information sales, (2) personal information sharing, and (3) sensitive personal information use and disclosure. The CPRA contains no opt-in requirement when transfers of personal information are made to “data brokers.” The proposed regulations would usurp the CPRA’s clear statutory language regarding opt-out rights by imposing an opt-in requirement where one specifically does not exist.

¹³ Cal. Code Regs. tit. 11, § 7002(b)(1) (proposed).

¹⁴ Cal. Civ. Code §§ 1798.125, 140(v) (effective Jan. 1, 2023).

¹⁵ *Id.* at §§ 1798.121, 140(ae).

¹⁶ Cal. Code Regs. tit. 11, § 7002(b)(3) (proposed).

Because the illustrative examples inject ambiguity into the regulatory scheme rather than clarity with the “average consumer expectation” standard and contravene the clear opt-out approach taken in the law, the proposed regulatory standard itself and the illustrative examples in Sections 7002(b)(1) and 7002(b)(3) should be removed from the proposed regulations. The Agency should amend the proposed regulations so they appropriately tie permissible data collection, use, and transfers to consumer notices rather than “average consumer expectation.”

III. The Proposed Regulations’ Approach to Opt-Out Preference Signals Conflicts with the Text of the Law

According to the proposed regulations, “[w]hen a business that collects personal information from consumers online receives or detects an opt-out preference signal... [t]he business shall treat the... signal as a valid request to opt-out of sale or sharing....”¹⁷ This proposed rule contravenes the CPRA, which makes businesses’ adherence to such signals optional. The proposed regulations also ignore the CPRA’s clear regulatory directive for the Agency to issue rules defining key safeguards for the development of such optional opt-out preference signals. The Agency should therefore remove Sections 7025(c) and (e) from the proposed regulations and first address the statutorily required rulemaking regarding safeguards for opt-out preference signals.

A. The Agency Should Align the Regulations With the CPRA, Which Makes Opt-Out Preference Signals Optional

According to the CPRA’s plain text, businesses “may elect” either to (a) “[p]rovide a clear and conspicuous link on the business’s internet homepage(s) titled ‘Do Not Sell or Share My Personal Information’” or (b) allow consumers to “opt-out of the sale or sharing of their personal information... through an opt-out preference signal sent with the consumer’s consent by a platform, technology, or mechanism, based on technical specifications to be set forth in regulations[.]”¹⁸ Businesses therefore may choose either to allow consumers to opt out through a do-not-sell link on their homepage(s) or through opt-out preference signals. In direct contrast to this optional structure set forth in the text of the law itself, the Agency has proposed that adherence to opt-out preference signals is mandatory. This interpretation of the CPRA is plainly inconsistent with the clear choice outlined in the statute that allows businesses either to adhere to global signals or offer an opt-out link.

In an attempt to justify converting the clear statutory option into a mandate that businesses must honor opt-out preference signals, the Agency’s Initial Statement of Reasons (“ISOR”) does not point to the plain language of the CPRA itself, which clearly makes the opt out preference signal optional. Instead, the ISOR cites the regulatory authority section of the CPRA to defend its assertion that global privacy controls are mandatory.¹⁹ The ISOR states:

¹⁷ *Id.* at § 7025(c)(1).

¹⁸ Cal. Civ. Code § 1798.135(b)(3) (effective Jan. 1, 2023) (emphasis added).

¹⁹ CPPA, *Initial Statement of Reasons* at 34-35, located [here](#).

This regulation is also necessary to address a common misinterpretation of Civil Code section 1798.135, subdivisions (b)(3) and (e), that complying with an opt-out preference signal is optional for the business. Not so. Civil Code section 1798.135 gives the business a choice between (1) posting the “Do Not Sell or Share My Personal Information” and “Limit the Use of My Sensitive Personal Information” link, or the other alternative Opt-Out link and (2) processing the opt-out preference signal in a frictionless manner in accordance with the regulations. (See Civ. Code, § 1798.135, subd. (b)(1) (referencing technical specifications described in Civil Code section 1798.185, subdivision (a)(20), about a frictionless processing of the signal, and not subdivision (a)(19), regarding the opt-out preference signal generally.) Whether or not the business posts the opt-out links, the CPRA amendments to the CCPA require a business to always comply with an opt-out preference signal.²⁰

This explanation imports an entirely new, extralegal concept of “frictionless manner” into the CPRA, even though the statute itself contains no such verbiage or concept. The Agency adds that, to be free from the requirement of providing an opt-out link, businesses must honor opt-out preference signals in a “frictionless manner” or they must provide an opt-out link *and* honor such signals in a “non-frictionless manner.”²¹ The term “frictionless manner” is defined by the Agency to mean honoring signals without charging a fee, changing a consumer’s experience with a product or service, or displaying a notification in response to an opt-out preference signal.²² The CPPA consequently contradicts the CPRA’s flexible approach of giving businesses options for processing opt-out requests by mandating honoring opt-out preference signals, even if businesses have decided to provide an opt-out link.

The ISOR’s reasoning also ignores the fact that the regulatory directive section (Section 1798.185(a)(20)) itself actually references the *optional* nature of opt-out preference signals by setting forth a clear regulatory directive that the CPPA must issue “regulations to govern how a business that has elected to comply with subdivision (b) of Section 1798.135 responds to the opt-out preference signal....”²³ The Section requires the Agency to issue rules governing how businesses that have *elected* to respond to opt-out preference signals (and not provide an opt-out link) must respond to those signals. The preceding section (Section 1798.185(a)(19)) sets forth a clear directive for the Agency to promulgate “technical specifications” (which typically describe the core idea and goals of a given software product) to govern the optional signals. The regulatory authorities in Section 1798.185(a)(19) and (a)(20) thus work together. Subsection (a)(19) requires the Agency to set the goals and core ideas behind the optional opt-out preference signal by promulgating technical specifications, and subsection (a)(20) directs the Agency to issue rules governing how a business must respond to these new signals in the event it chooses to accept them.

The CPRA is a statute that Californians approved directly by affirmatively voting it into law through their ballots. The Agency’s misinterpretation of the clear option for businesses either to adhere to opt-out preference signals or offer an opt-out link consequently defies what Californians voted into law in November 2020. The Agency should remove Sections 7025(c)

²⁰ *Id.*

²¹ Cal. Code Regs. tit. 11, § 7025(e) (proposed).

²² *Id.* at §§ 7001(m), 7025(f).

²³ Cal. Civ. Code § 1798.185(a)(20) (effective Jan. 1, 2023) (emphasis added).

and (e) from the proposed regulations in order to conform to the CPRA’s option for companies either to provide an opt-out link or accept opt-out rights through a preference signal.

B. The Agency Should Define Key Safeguards to Guide Opt-Out Preference Signals

While the proposed regulations impose a conflicting requirement where a clear option is present in the law, they fail to address important provisions of the CPRA that are intended to guide and protect the creation of opt-out preference signals. The CPRA tasks the Agency to issue particularized opt-out preference signal regulations so as to ensure such controls are true expressions of consumer choice rather than being set by default by intermediaries. For example, the CPRA states the Agency’s opt-out preference signal requirements “should... clearly represent a consumer’s intent and be free of defaults constraining or presupposing such intent.”²⁴ Additionally, the regulations section of the CPRA tasks the Agency with issuing rules to “ensure that the manufacturer of a platform or browser or device that sends the opt-out preference signal cannot unfairly disadvantage another business.”²⁵ These safeguards—which the Agency is specifically directed to consider and issue regulations to effectuate—are nowhere present in the proposed draft regulations. Without the Agency’s acknowledgement and development of these key safeguards surrounding global signals, consumers are at risk that choices will be made for them by parties that do not consult consumers first. Intermediary companies that stand between consumers and businesses should not be permitted to decide how the consumer experiences the Internet absent the consumer’s affirmative choice. The Agency should issue regulations to clarify and define the key safeguards set forth in Section 1798.185(a)(19)(A) of the CPRA.

IV. The Agency Should Remove Section 7050(c) of the Proposed Regulations Because It Is Unnecessary and Duplicative

Section 7050(c) should be removed from the draft regulations, as it is unnecessary and duplicative. The proposed regulation is a restatement of the CPRA restriction that an entity cannot provide cross-context behavioral advertising (“CCBA”) services as a service provider.²⁶ The proposed regulation also restates the CPRA by affirming that an entity may provide advertising and marketing services as a service provider and, subject to an opt-out, even combine personal information in certain circumstances for advertising and marketing purposes.²⁷ This text is duplicative of proposed regulation Section 7050(b)(4). The CPRA is sufficiently clear with respect to entities engaged in CCBA as third parties and makes clear that it is CCBA itself (the targeting of an advertisement based on data combined from multiple businesses, distinctly-branded websites, applications, or services, other than the business, distinctly-branded website, application, or service with which the consumer intentionally interacts) that constitutes prohibited service provider activity, not advertising and marketing services generally. Therefore, Section 7050(c) is unnecessary and should be removed from the proposed regulations.

²⁴ *Id.* at § 1798.185(a)(19)(A)(iii).

²⁵ *Id.* at § 1798.185(a)(19)(A)(i).

²⁶ Cal. Code Regs. tit. 11, § 7050(c) (proposed).

²⁷ *Id.*

V. The Proposed Regulations' Symmetry of Choice Requirements Are Too Inflexible to Accommodate Different Channels and Technologies

The proposed regulations would require “symmetry of choice”—*i.e.*, the number of steps necessary for consumers to exercise choices to be the same regardless of what the choice entails.²⁸ Instead of mandating perfect symmetry in the number of steps consumers must take to exercise choices, the regulations should require businesses to exercise a reasonable effort to provide symmetry for consumer choice paths.

The Agency should not require exact symmetry because exact symmetry is likely not possible or advantageous for consumers in all instances, given differences in technology or the choices themselves. Consumers should not be deprived of the ability to receive pertinent information about their privacy choices or to benefit from measures businesses may employ to educate consumers about the results of certain choices. A standard that requires businesses to make reasonable efforts to ensure choice paths contain relatively the same number of steps, instead of exactly the same number of steps, would strike a better balance of ensuring consumers can efficiently exercise choices while providing flexibility for businesses to execute a request effectively and safely.

The proposed regulations' illustrative example in Section 7004(a)(2)(A) mandates that the process for submitting an opt-out request to a business should not involve more steps than a request to opt in. This example ignores the reality that the steps a consumer must take to effectuate a choice may be different depending on the kind of channel or type of technology they are using. For example, the user interface for a smart speaker may require more steps for users to make choices or may require them to use other mediums, like an app-based portal, to modify settings. Consequently, the choice path for smart speakers may reasonably differ from the choice path for a service that is available only via a mobile application interface.

Moreover, mechanisms may be asymmetric to give consumers numerous logical paths for exercising choice. Consumers may be permitted to make the same choices in multiple ways, some of which may involve fewer steps than others. For example, across certain major mobile operating systems, to permit the collection of location data via an app, a consumer is currently offered an in-app prompt upon opening the application to permit access to location data via a single click (just-in-time choice). The same operating systems also offer consumers additional means to modify location data permissions via the device settings, which are available to consumers through multiple clicks. Regulations that do not account for differences across channels, devices, and other modes of interactions between businesses and consumers risk hindering consumer choice and companies' ability to provide innovative technologies and logical choice paths that effectively enable consumers to express preferences through different interfaces. The Agency should revise the draft regulations to require businesses to make reasonable efforts to achieve choice path symmetry rather than issue a one-size-fits-all requirement for symmetry of choice.

²⁸ *Id.* at § 7004(a)(2).

VI. Forcing Businesses to Forward Opt-Out Requests Downstream Is Inconsistent with Consumer Choice and the CPRA’s Text

The CPRA regulations would require businesses to forward opt-out requests to other parties in the ecosystem²⁹—a requirement not found in the text of the CPRA itself. Additionally, the requirement could be misaligned with consumer choices. When a consumer submits an opt-out request to one business via a “Do Not Sell or Share My Personal Information” button, the consumer is indicating an intent to opt out of that one business’s sales and/or sharing of personal information. When clicking the button, the consumer is not expressing a preference that the business forward the opt-out selection to others in the marketplace. Because the requirement to forward opt out requests downstream is inconsistent with the text of the CPRA and consumer choices, the Agency should remove this requirement from the proposed regulations.

The CPRA is clear on the scope and intent of consumer rights. For example, the CPRA explicitly requires companies to forward deletion requests to third parties and service providers.³⁰ The CPRA states: “A business that receives a verifiable consumer request for a consumer to delete the consumer’s personal information... shall... notify any service providers or contractors..., and notify all third parties to whom the business has sold or shared such personal information, to delete the consumer’s personal information, unless this proves impossible or involves disproportionate effort.”³¹ The CPRA does not include a similar mandate with respect to opt-out requests. The lack of a statutory requirement for businesses to forward opt-out requests to others in the ecosystem, when such a requirement explicitly exists for other rights, suggests the drafters of the CPRA did not intend to require opt-outs be sent to other businesses.

Additionally, requiring companies to forward a consumer opt-out request to other businesses would have unintended impacts for consumers. If a consumer clicks a “Do Not Sell or Share My Personal Information” link on a sports apparel website, the consumer likely does not want parties with which the sports apparel company shares personal information—such as third party rewards companies—to opt the consumer out of data transfers. Consumer choices to opt out of personal information sales and sharing are served on individual companies for reasons that are specific and unique to each consumer. By making a single choice with respect to one company’s ability to transfer data, consumers do not intend to submit an opt-out request that is effective throughout the entire Internet marketplace. For these reasons, the Agency should remove the *ultra vires* requirement to forward opt-out requests to other businesses in Section 7026(f)(2) & (3) of the proposed regulations.

VII. Correction Requirements Should Permit Important Consumer Protections

The proposed regulations’ requirements surrounding the new consumer right of correction, while well-intentioned, could inadvertently impair businesses’ ability to detect fraud. The proposed rules could also make it easier for fraudsters to gain access to others’ personal information. The Agency should therefore carefully consider how the present correction

²⁹ *Id.* at §§ 7026(f)(2) & (3).

³⁰ Cal. Civ. Code § 1798.105(c)(1) (effective Jan. 1, 2023).

³¹ *Id.*

regulations could unintentionally enable fraud and change the proposed rules accordingly to ensure personal information can be appropriately protected from misuse.

Several of the proposed regulations' mandates surrounding the correction right could facilitate fraudulent requests to the detriment of consumers and society. For example, the proposed regulations state that, if a business does not maintain documentation to support the accuracy of the information it has on file, the consumer's assertion of inaccuracy alone could be enough to establish the personal information is inaccurate.³² It is not standard business practice for companies to maintain documentation that attests to the accuracy of the data they process. The regulations suggest that a lack of such back-up documentation could empower any consumer correction request to be effectuated, even if the information the business maintains is actually accurate. The Agency should remove Section 7023(b)(2) from the proposed regulations to protect consumers from fraudulent correction requests.

Moreover, businesses regularly purposefully maintain inaccurate information and associate it with consumers or their accounts in order to detect fraud patterns. For example, if a fraudster attempts to access a user's account but misspells the user's login credentials, a company may keep a record of that misspelling to enable it to detect the same misspelling later. That activity allows the company to more quickly and easily ensure the user's account is secure and notify the real user of the attempted fraudulent access to their information. Maintaining inaccurate information on file in order to better protect consumers is a common business practice based on legitimate purposes.

Another example of a proposed correction rule that could inadvertently empower fraud is Section 7023(j)'s requirement for businesses, upon request, to provide specific pieces of personal information back to the requestor to allow them to "confirm that the business has corrected the inaccurate information that was the subject of the consumer's request to correct."³³ This provision, taken together with the permissive approach to correction requests in Section 7023(b)(2), could embolden fraudsters to use correction requests to gain access to specific pieces of personal information about a particular individual. A study in the EU examined and documented the ways in which fraudulent privacy requests and prescriptive legal requirements surrounding the processing of such requests can negatively impact consumers.³⁴ The study's authors were able to use social engineering tactics to exploit businesses' privacy rights request systems to access others' personal information. As presently drafted, the proposed rules' correction mandates could empower nefarious individuals or entities to submit fraudulent requests to companies and obtain information they should not be able to access. The Agency should consequently remove Section 7023(j) of the proposed regulations and conduct a holistic review of its proposed correction right regulations to ensure the rules do not unintentionally make it easier for individuals to submit fraudulent requests.

³² Cal. Code Regs. tit. 11, § 7023(b)(2) (proposed).

³³ *Id.* at § 7023(j).

³⁴ James Pavur & Casey Knerr, *GDPArrrrr: Using Privacy Laws to Steal Identities*, BLACKHAT USA (2019), located [here](#) (considering how legal ambiguity surrounding the GDPR's access right could be abused by social engineers).

VIII. The Agency Should Clarify the Proposed Regulations' Notice Requirements

Several proposed requirements involving consumer notices should be clarified to provide more useful and digestible information to consumers. In particular, the proposed regulations' requirements for affirmative statements in privacy policies, notices regarding offline data practices, and notices on connected devices should be streamlined and clarified as set forth below.

A. The Regulations Should Not Force Businesses to Make Affirmative Public Statements Regarding Information They May Not or Cannot Know

The proposed regulations would require businesses to make affirmative statements regarding children in their privacy policies. According to the proposed regulations, businesses must publicly state whether they have actual knowledge that they sell or share personal information of consumers under age 16.³⁵ This mandate adds an entirely new element, as the CPRA does not require such an affirmative public statement. Rather, the CPRA prohibits businesses from selling or sharing personal information of consumers if the business has actual knowledge the consumer is less than 16 years of age.³⁶ Despite businesses' best efforts, the proposed regulations' affirmative privacy policy statement requirement could unreasonably subject businesses to deception claims from the Federal Trade Commission or state authorities if businesses do not update their privacy policies immediately after gaining actual knowledge that they sell or share personal information of consumers under age 16. If a rule is adopted on this subject, the CPPA should require a business to state whether it *knowingly* sells or shares personal information associated with consumers under age 16. Such a change to the proposed rules would create room for businesses that do not sell or share such personal information as a regular business activity to monitor their internal processes and rectify unintended uses of data efficiently without facing the threat of an unreasonable deception claim due to a data processing error.

B. The Regulations Should Not Require Disclosures Regarding Offline Data Practices

The Agency's proposed regulations would require a business to provide information about offline personal information collection and use practices in its online privacy policy.³⁷ Such a requirement would result in unwieldy, long, and undigestible disclosures that would not provide consumers with any real benefits. Covering the entire landscape of ways businesses may collect personal information in offline contexts would require notices containing volumes of information. Additionally, the requirement to include information about offline practices in online privacy policies represents a stark break from existing practice, which has always required businesses to provide information about online data collection and use practices in an online privacy policy. California's own California Online Privacy Protection Act and similar laws in Nevada and Delaware require privacy policies to cover only online data collection and use

³⁵ Cal. Code Regs. tit. 11, § 7011(e)(1)(G) (proposed).

³⁶ Cal. Civ. Code § 1798.120(c) (effective Jan. 1, 2023).

³⁷ Cal. Code Regs. tit. 11, § 7011(e)(1) (proposed).

practices.³⁸ The proposed regulations should be amended to remove the requirement to make disclosures regarding offline data collection and use practices.

C. The Regulations Should Permit Flexibility in Notices to Accommodate Different Kinds of Online Services and Connected Devices

The proposed regulations would require businesses to provide an opt-out notice through a connected device or in an augmented or virtual reality (“AVR”) environment “in a manner that ensures the consumer will encounter the notice” while using the device or while in the AVR environment.³⁹ These notice requirements fail to consider that such rules may significantly impair the user experience or be impossible to provide. Smart watches and smart speakers, for example, may not have the ability to provide a full opt-out notice to the consumer via their user interface. Requiring smart devices to do so could severely impair the user experience by, for example, forcing a consumer to listen to a verbatim reading of an opt-out notice before being permitted to use the smart speaker they purchased. The proposed regulations should require opt-out notices for smart devices and AVR environments to be in the primary medium used to offer the product or service, or—if the product or service is not offered in a medium that reasonably permits the required notice—another medium regularly used in conjunction with the product or service. Not all devices that generate or collect personal information will have a user interface that permits notice through the device itself (such as a smart speaker or a smart watch). If left unchanged, the proposed regulation requiring disclosures through connected devices and AVR environments could result in such devices and technologies being carved out of the digital economy because of an inability to comply with the law, resulting in less access to emerging technologies and data-supported services.

IX. Consumer Access Requests Should Cover the Prior 12-Month Period Unless the Consumer Specifically Requests Access to Older Information

The proposed regulations would require businesses to provide access to personal information beyond the 12-month period preceding the consumer’s request, even if the consumer does not specifically request access to such legacy information.⁴⁰ This requirement is inconsistent with the text of the CPRA. The draft rules should be amended to require consumers specifically to request access to information beyond the prior 12-month period, in order to match the text of the law and reduce significant operational burdens for businesses complying with access requests.

The CPRA states that, in response to an access request, “[t]he disclosure of the required information shall cover the 12-month period preceding the business’s receipt of the verifiable consumer request, provided that... *a consumer may request* that the business disclose the required information beyond the 12-month period and the business shall be required to provide such information unless doing so proves impossible or would involve a disproportionate

³⁸ California Online Privacy Protection Act, Cal. Bus. & Prof. Code §§ 22575 et. seq.; Nevada Online Privacy Protection Act, Nev. Rev. Stat. §§ 603A.300 et. seq.; Delaware Online Privacy Protection Act, Del. Code Ann. tit. 6, §§ 1201C et. seq.

³⁹ Cal. Code Regs. tit. 11, §§ 7013(e)(3)(C) & (D) (proposed).

⁴⁰ *Id.* at § 7024(h).

effort.”⁴¹ The CPRA thus clearly ties the requirement to provide information beyond the prior 12-month period to a consumer’s particularized request for such legacy information. Additionally, the proposed definition of “disproportionate effort” does not provide meaningful limitations for businesses or a clear barometer by which they can determine what conduct reaches the “disproportionate effort” threshold. The draft rules should therefore be amended to make clear that a business may reasonably respond to a consumer access request by providing information that covers the 12-month period preceding the request, and only after receiving a consumer’s specific request for older information must the business provide information beyond that period.

X. Transient, Unknown Technical Violations of the Regulations Should Not Be Grounds for Enforcement

The proposed regulations would make certain passing technical violations of its provisions the potential subject of enforcement actions. For example, under the proposed regulations, “[c]ircular or broken links, and nonfunctional email addresses... may be in violation of th[e] regulation[s]” and subject to Agency enforcement.⁴² Transient technical issues such as broken links are a ubiquitous part of the Internet infrastructure. They are oftentimes quickly fixed before consumers are ever even impacted by them. Businesses should not be burdened with the risk of a CPPA enforcement action each time a privacy rights page does not render correctly, a consumer receives a faulty bounce-back email, or a privacy link is otherwise broken. Such an approach would weaponize the enforcement provisions of the CPRA into a bounty system whereby a business could be subject to a fine for a minor technical glitch. This concern is heightened by the fact that the administrative enforcement cure period will no longer be guaranteed under the CPRA.⁴³ Businesses should have flexibility to correct these technical issues swiftly without the threat of legal action. The Agency should remove Section 7004(a)(5)(B) from the proposed regulations.

The proposed regulations also include prescriptive mandates for businesses to use certain font sizes and colors for opt-out links on their websites. The regulations would require opt-out links to be in the same font size and color as other links on the business’s homepage and would require the proposed regulations’ opt-out icon to be the same size as other icons on the page.⁴⁴ In effect, these requirements could mandate that an opt-out icon must be the same size as a business’s logo on its homepage, which would impair businesses’ ability to engage in lawful commerce without providing any consumer protection benefits. Businesses should be required to make opt-out links clear and prominent, but they should have flexibility to present those links to consumers in ways that do not interfere with the business’s existing branding efforts or page aesthetics.

The proposed rules would also include certain unnecessary and prescriptive requirements regarding the presentation of consumer notices. For example, for businesses that collect personal

⁴¹ Cal. Civ. Code § 1798.130(a)(2)(B) (effective Jan. 1, 2023) (emphasis added).

⁴² Cal. Code Regs. tit. 11, § 7004(a)(5)(B) (proposed).

⁴³ Compare Cal. Civ. Code § 1798.155(b) (effective Jan. 1, 2020) with Cal. Civ. Code § 1798.155(a) (effective Jan. 1, 2023).

⁴⁴ Cal. Code Regs. tit. 11, §§ 7003(c), 7015(b) (proposed).

information online via “webforms,” a notice at collection would be required to be posted “in close proximity to the fields in which the consumer inputs their personal information, or in close proximity to the button by which the consumer submits their personal information to the business.”⁴⁵ Similarly, the proposed rules would require a notice at collection to be placed on “the introductory page of the business’s website and all webpages where personal information is collected.”⁴⁶ These requirements are confusing and unnecessary, as the CPRA and proposed regulations already require privacy notices to be conspicuous.⁴⁷ The Agency should remove the requirement to post notices “in close proximity” to a webform and “on the introductory page” of a website. The Agency should also remove other prescriptive mandates in the draft rules, such as those in Sections 7003(c) and 7015(b), that place overly specific requirements on how text and images must be presented to consumers.

XI. The Data-Driven and Ad-Supported Online Ecosystem Benefits California Residents and Fuels Economic Growth

Over the past thirty years, data-driven advertising has created significant benefits by providing Californians with virtually unencumbered access to online resources and myriad opportunities for employment. Data-driven advertising has supported the existence of an open web, where consumers can access information, news, content, and online products and services at little or no cost. It has also helped to generate massive gains in United States (“U.S.”) gross domestic product (“GDP”) and has aided the stratification of economic power among companies of various sizes, resulting in small and mid-sized firms competing with the largest players in the marketplace. Overly broad regulations that unnecessarily hinder or limit data-driven advertising would harm Californians and California businesses alike. As described in more detail below, the Agency should keep the benefits provided by data-driven advertising in mind as it modifies the proposed regulations.

A. Data-Driven Advertising Drives the Economy and Employment

Data-driven advertising has created significant consumer benefits. It has generated jobs and employment opportunities for individuals that power the economy, and the growth in data-driven advertising-related economic benefits continues to compound. According to one study, the Internet economy’s contribution to U.S. GDP has grown 22 percent per year since 2016.⁴⁸ Moreover, data-driven advertising is responsible for a significant overall portion of U.S. GDP. In 2020, the Internet economy contributed \$2.45 trillion to the U.S.’s \$21.18 trillion GDP.⁴⁹ Those figures suggest that data-driven advertising is responsible for more than 10% of the total monetary value of all the goods and services produced within U.S. borders.⁵⁰

⁴⁵ *Id.* at § 7012(c)(2).

⁴⁶ *Id.* at § 7012(c)(1).

⁴⁷ *Id.* at § 7011(d).

⁴⁸ See John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU at 5 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf (hereinafter, “Deighton & Kornfeld 2021”).

⁴⁹ *Id.*

⁵⁰ See *id.*

The contributions of advertising, including data-driven advertising, to U.S. GDP are mirrored by its contributions to U.S. employment. For every million dollars spent on advertising in 2020, 83 American jobs were supported across a wide swath of industries throughout the economy.⁵¹ This figure shows that advertising, including data-driven advertising, not only serves consumers by providing relevant and useful messaging, but in a broader sense, the advertising industry serves individuals employed in industries that depend on the practice. In 2020, advertising contributed \$2.1 trillion in salaries and wages to such individuals, representing 18.2% of total labor income in the United States.⁵² The average salary for jobs ultimately supported by advertising was over \$73K, or 12% above the national average.⁵³ In reference to California specifically, one study found that the ad-supported Internet supported 1,096,407 full-time jobs across the state in 2020, more than double the number of Internet-driven jobs from 2016.⁵⁴

Presently, more than 17 million Americans are employed in jobs generated by the commercial Internet.⁵⁵ Additionally, many of these jobs have been created by small to mid-size firms rather than by large companies. In fact, in 2020 more Internet jobs were created by small firms and self-employed individuals (38 percent) than by the largest Internet companies (34 percent).⁵⁶ Moreover, consistent with the general movement of brand spending toward online media, more than half of the employment in the advertising and media fields is related to the commercial Internet, which is powered by data-driven advertising.⁵⁷

B. Data-Driven Advertising Subsidizes Californians' Access to Online Content and Consumers Prefer the Ad-Supported Model of the Internet

Data-driven advertising provides significant benefits to Californians that would not exist if the practice were significantly limited by overly prescriptive regulations. Consumers clearly benefit from data-driven advertising's support for and enablement of free and low-cost content and services that publishers offer consumers online. Without data-driven advertising, many online content and service providers may elect to adopt a subscription-based model, where content would be accessible to a consumer only upon payment of a fee. An increase in subscription-based services would change the egalitarian nature of the Internet, with consumers of means able to access cutting edge content and services while consumers with less expendable income would not be able to do so. Data-driven advertising practices allow the Internet to remain open and accessible to all by helping to make crucial content widely available for free or at a low cost.

⁵¹ See IHS Markit, *The economic impact of advertising on the US economy 2018 – 2026* at 5 (Nov. 2021).

⁵² See *id.* at 13.

⁵³ See *id.* at 5.

⁵⁴ Compare Deighton & Kornfeld 2021, at 121-123 (Oct. 18, 2021), located [here](#) with John Deighton, Leora Kornfeld, and Marlon Gerra, *Economic Value of the Advertising-Supported Internet Ecosystem*, INTERACTIVE ADVERTISING BUREAU, 106 (2017), located [here](#) (finding that Internet employment contributed 478,157 full-time jobs to the California workforce in 2016 and 1,096,407 jobs in 2020).

⁵⁵ Deighton & Kornfeld 2021, at 5.

⁵⁶ *Id.* at 6.

⁵⁷ *Id.* at 8.

U.S. consumers of all income levels embrace the ad-supported Internet and use it to create value in their lives. Consumers are not harmed by data-driven advertising; in fact, research shows consumers are supportive of the practice. One study found that more than half of consumers (53 percent) desire relevant ads, and a significant majority (86 percent) desire tailored discounts for online products and services.⁵⁸ Additionally, in a recent survey conducted by the Digital Advertising Alliance (“DAA”), 90 percent of surveyed consumers stated that free content was important to the overall value of the Internet, and 85 percent surveyed expressed a preference for the existing ad-supported model where most content is free, rather than a non-ad supported Internet where consumers must pay for most content.⁵⁹ Another survey showed that consumers assign a monetary value of over \$1,400 per year to the ad-supported Internet.⁶⁰ If a subscription-based model replaced the ad-based model, many consumers likely would not be able to afford access to, or would be reluctant to utilize, all of the information, products, and services they rely on today and that will become available in the future.⁶¹

Moreover, consumers can control data-driven advertising by opting out of the practice. In addition to the existing right to opt out of sales and sharing in the CPRA, self-regulatory frameworks such as the Digital Advertising Alliance Principles allow all consumers, regardless of their state of residency, to opt out of data-driven advertising.⁶² The DAA Principles also require companies to be transparent with consumers regarding uses of data by providing relevant notices outside a privacy policy. Such notice is often provided through the well-recognized DAA Icon that offers easy access to consumer controls for data-driven advertising.⁶³ As a result, Californians are made well-aware of data-driven advertising via the DAA Icon and can readily opt out of the practice through the DAA’s tools or the rights provided to them by the CPRA.

C. Data-Driven Advertising Promotes Competition and Supports a Vibrant Ecosystem of Companies of All Sizes, Particularly Smaller Entities

Data-driven advertising allows a flourishing ecosystem of companies to compete and contribute to a healthy economy. Data-driven advertising helps the new companies of today develop into the sophisticated, larger enterprises of the future that lend value to everyday Americans’ lives. Many different kinds of companies of various sizes, from publishers of

⁵⁸ Mark Sableman, Heather Shoenberger & Esther Thorson, *Consumer Attitudes Toward Relevant Online Behavioral Advertising: Crucial Evidence in the Data Privacy Debates* (2013), located at https://www.thompsoncoburn.com/docs/default-source/Blog-documents/consumer-attitudes-toward-relevant-online-behavioral-advertising-crucial-evidence-in-the-data-privacy-debates.pdf?sfvrsn=86d44cea_0.

⁵⁹ DAA, *Americans Value Free Ad-Supported Online Services at \$1,400/Year; Annual Value Jumps More Than \$200 Since 2016* (Sept. 28, 2020), located [here](#).

⁶⁰ DAA, *Americans Value Free Ad-Supported Online Services at \$1,400/Year; Annual Value Jumps More Than \$200 Since 2016* (Sept. 28, 2020), located [here](#).

⁶¹ Federal Trade Commission, *In re Developing the Administration’s Approach to Consumer Privacy*, 15 (Nov. 13, 2018), located at https://www.ftc.gov/system/files/documents/advocacy_documents/ftc-staff-comment-ntia-developing-administrations-approach-consumer-privacy/p195400_ftc_comment_to_ntia_112018.pdf.

⁶² DAA, *Self-Regulatory Principles for Online Behavioral Advertising* (Jul. 2009), located [here](#); FTC, *Cross-Device Tracking, An FTC Staff Report* (Jan. 2017) at 11, located [here](#) (“FTC staff commends these self-regulatory efforts to improve transparency and choice in the cross device tracking space...DAA [has] taken steps to keep up with evolving technologies and provide important guidance to their members and the public. [Its] work has improved the level of consumer protection in the marketplace.”)

⁶³ DAA, *New DAA-Commissioned Survey Shows ‘AdChoices’ Icon Recognition Has Grown to 82 Percent in 2021* (Jun. 3, 2021), located [here](#).

popular websites and small bloggers to third party ad tech companies and marketing services providers, facilitate data-driven advertising to reach individuals with relevant messaging. Third-party companies assist first-party companies looking to activate their data to reach consumers more efficiently; first-party companies rely on data-driven advertising to maximize their advertising spend; and consumers benefit from the overall practice, as they receive more relevant advertisements and broad access to information online because of the activity. All of this fosters a competitive environment.

The overwhelming majority of the companies that leverage data-driven advertising are not large platforms or market behemoths; to the contrary, they are new, small, and mid-size businesses that use, facilitate, and depend on data-driven advertising to reach their target markets and generate value. New entrants or companies with weaker market share, and therefore with less first-party data, would be substantially less able to compete if they could not use data-driven advertisements to find an audience. The wide variety of companies that engage in and benefit from data-driven advertising shows the practice serves to promote, rather than hinder, competition. Data-driven advertising creates lower barriers to entry for new market entrants, reduces small business costs, and facilitates start ups' ability to access markets. As a result, modern digital advertising is actually a fundamental driver of competition. It particularly empowers small businesses to compete where costs would otherwise hinder their market entry, leading to a greater diversity of online companies, products, and services, from which consumers gain value.

Although online publishers of all sizes rely on data-driven advertising, smaller websites depend on data-driven advertising for a significantly greater portion of their advertising revenue.⁶⁴ Data-driven advertising specifically helps small and mid-size businesses personalize their marketing, connect with the right customer segment, and therefore increase sales. One survey found that 74% of small and mid-sized businesses reported that personalized advertising was "important to the success of their business."⁶⁵ In addition, the same study showed that, by engaging with their customers through personalized ads, small and mid-sized businesses can increase overseas sales by diversifying their customer base beyond their own home location, thereby making them more resilient to local demand shocks.⁶⁶

A regulation that severely hinders data-driven advertising would not only impact the largest companies in the marketplace, but more ominously also would impact myriad other small, medium, and large companies as well as individuals employed by those companies at a time of significant economic uncertainty. The power of data-driven advertising should be harnessed to provide benefits to consumers and support a healthy economy, instead of limiting or impairing it. The Agency should strike a balance between fostering continued economic development and providing robust privacy protections for Californians through the CPRA regulations. The CPPA should keep the benefits of data-driven advertising in mind as it updates the proposed regulations implementing the CPRA.

⁶⁴ Digital Advertising Alliance, *Study: Online Ad Value Spikes When Data Is Used to Boost Relevance* (Feb. 10, 2014), located [here](#).

⁶⁵ Deloitte, *Dynamic Markets: Unlocking small business innovation and growth through the rise of the personalized economy* at 2 (May 2021).

⁶⁶ *Id.* at 23.

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Thank you for the opportunity to submit comments on the proposed regulations to implement the CPRA. Please do not hesitate to contact us with any questions regarding this submission.